

BUSINESS PROCESS MANAGEMENT

IS 2206

Lecture 01

Lakshani Gayanthika
lks@ucsc.cmb.ac.lk

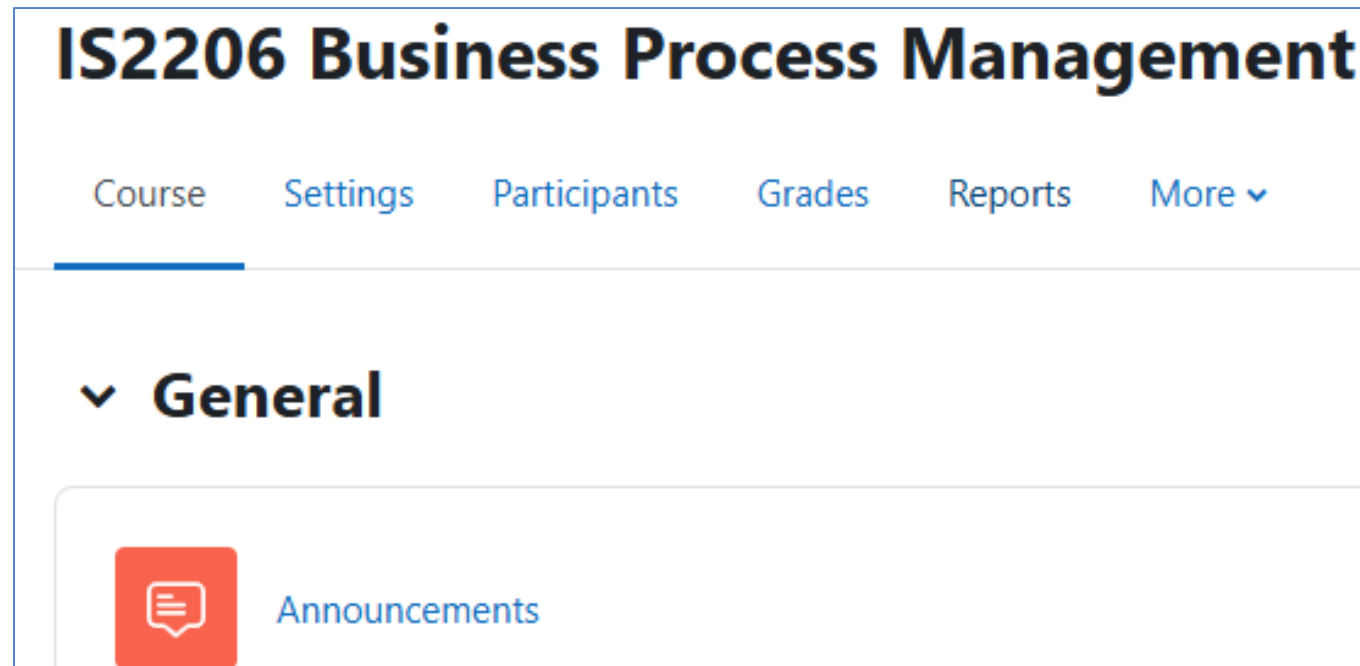
Evaluation Criteria

- Assignments: 30%
 - Lab Session Submissions
 - Continuous in-class Assignments/ Take Home Assignment
- Final Exam: 70%

PASS MARK: 40

Lectures and Lab Sessions

- **Lectures:** Every Tuesday 8.00 am to 10.00 am
- **Lab Sessions :** Every Thursday 8.00 am to 10.00 am
- **Course Notifications:** via UGVLE



Course Definition

- This unit aims to provide students with knowledge on organizational practices of business process management. Through examples students will learn to recognize business processes in an organization and then to apply their gained knowledge to re-engineer the processes.

Intended Learning Outcomes

- Upon completion of this course, students will be able to do the following:
 - Describe different phases in the BPM life cycle
 - Model As-is and To-be processes using BPMN.
 - Assess the role and potential of IT to support business process management
 - Identify weaknesses in a given process and, apply improvement techniques/best practices to improve the business process
 - Apply change management theories to a given context
 - Improve the ability to communicate in group settings.

Course Content

- Business Processes in Action
- BPM Life Cycle and BPM Suits
- Process Identification
- Business Process modelling
- Process Discovery
- Process Analysis
- Process Redesign
- Process Implementation, Monitoring and Controlling
- Benchmarking and Best practices
- Change Management

TOPIC 01

What are Business Processes?



1.1 Processes That You Can Of...



*“A process is a series of steps carried out to achieve a specific outcome.
BPM helps us manage and improve these processes.”*

In the University?

- Admission
- Curriculum Development
- Evaluations
- Teaching
- Payroll

etc.

In a Business?

- Order – to – cash
- Quote – to – order
- Procure – to – pay
- Application – to – approval
- Issue – to – resolution process

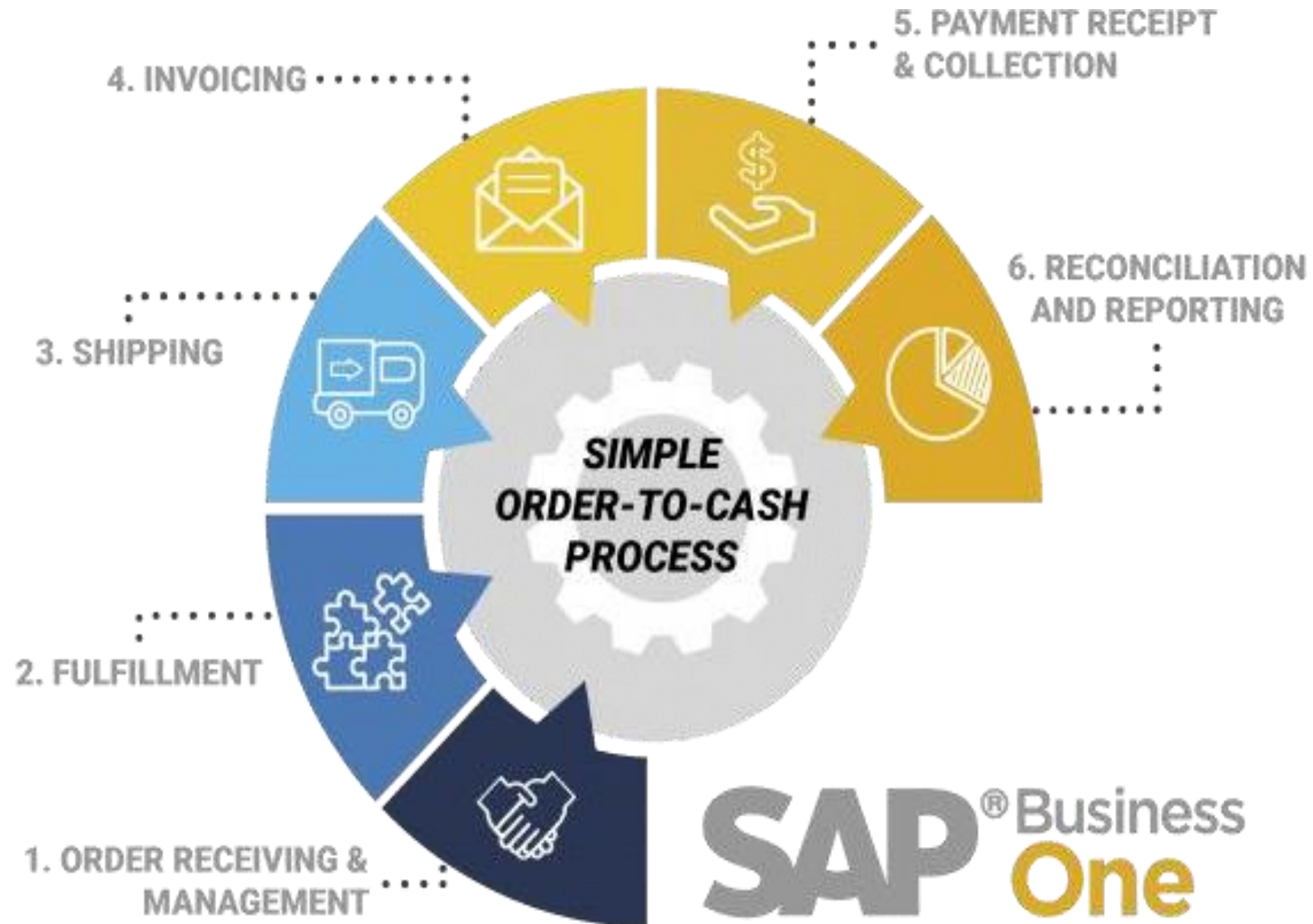
etc.

1.2 What is a Business Process

Collection of related events, activities and decisions, that involve a number of actors and resources, and that collectively lead to an outcome that is of value to an organization or its customers.

It consists of a set of activities that are performed in coordination in an organizational and technical environment. These activities jointly realize a business goal. Each business process is enacted by a single organization, but it may interact with business processes performed by other organizations.

Example



Activity

- Identify the Elements of a Business Process.
- What is Business Process Management?
- Identify Modern BPM Trends.
- What are the categories/Types of Processes of Business Process?

TOPIC 02

Elements of a Business Process



2.1 Events

- Things that happen automatically
- meaning that they have no duration.
i.e. may trigger the execution of series of activities

Eg- Arrival of an equipment at a construction site.

2.2 Activity

- Work initiated by an event

Eg- Engineer inspect the equipment arrived to the site and has many steps involved during the inspection

2.3 Task

- An activity is rather simple and can be seen as one single unit of work

Eg- Just checking that the equipment received corresponds to what was ordered

2.4 Decision Points

- Points in time when a decision is made that affects the way the process is executed

Eg- Engineer decide to return the equipment or not after the inspection

2.4 Actors

- People or organizations involved in the business process
- Software systems acting on behalf of human actors or organizations

2.5 Objects

- Physical objects

Eg - Equipment, Materials, Products, Paper documents

- Immaterial objects

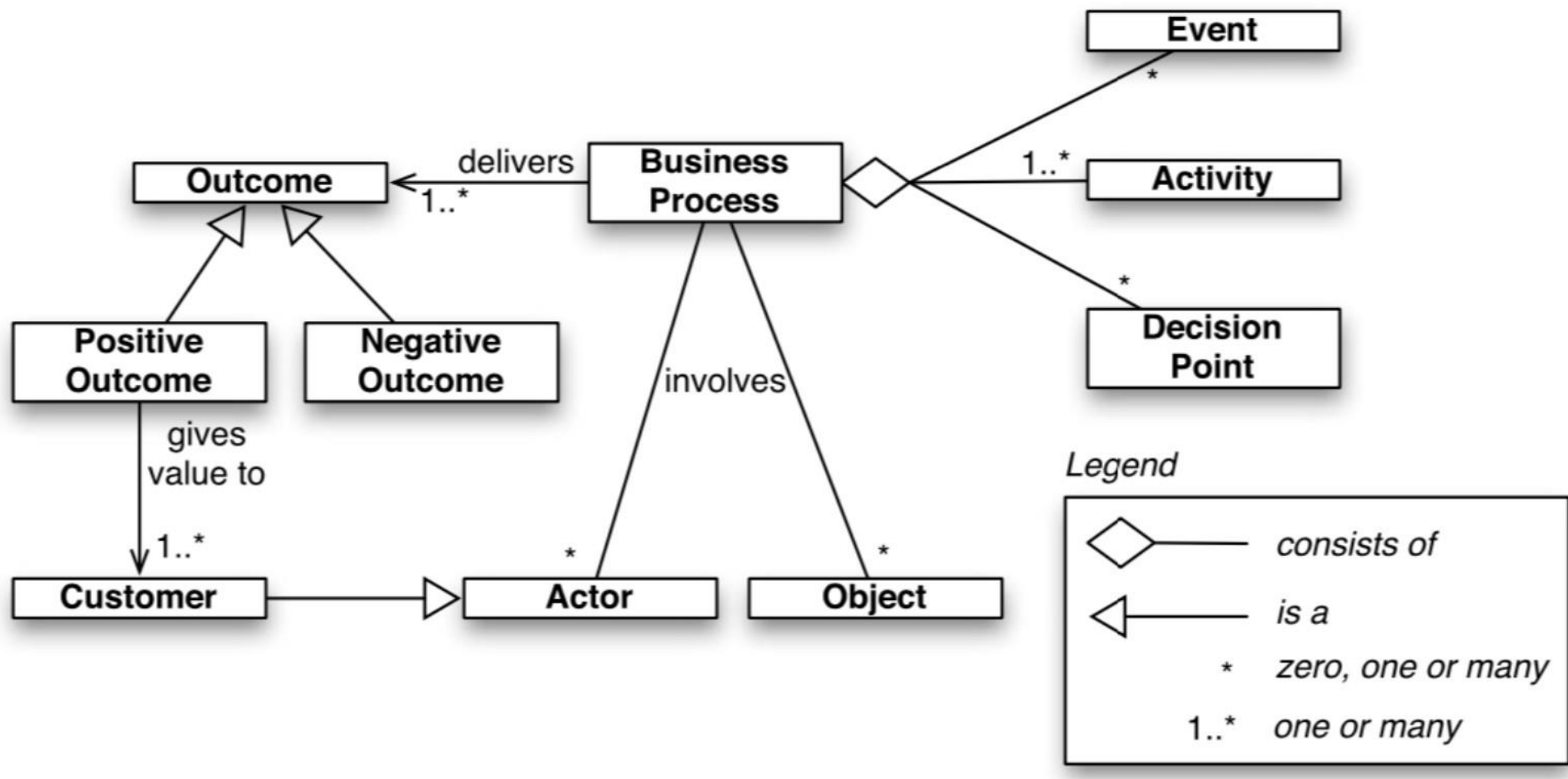
Eg – Electronic documents, electronic records

2.6 Outcomes

- The execution of a process leads to one or several outcomes.
- An outcome can deliver a value to the actors involved in the process.
 - Positive Outcome
 - Negative Outcome
- Among the actors involved in a process, the one who consumes the output of the process plays a special role, **namely the role of the customer**

2.7 Sub-Processes

- A sub-process represents a self-contained, composite activity that can be broken down into smaller units of work. Sub-processes are processes in their own right because they are well defined, have a beginning and end, and have inputs and outputs.



Outcome Vs Value in Business Context

Outcome

- It is what your product/service can do for your customer and the measurable results that your customer can see.
-
- Outcomes and value are two different things – the same outcome will not mean value to every customer, but each outcome has the possibility to provide value. The relationship between the two is symbiotic. Each outcome will provide a result, however to unlock the value of each outcome you need to understand what value means to each customer and prescribe the right outcome at the right time.

Value

- It is what you prescribe to your customer at the point of sale and reinforce throughout their journey as a customer.
- At times it may be fluid and evolve over time, but it will always tie back to the promise you make to your customer and to the market. This will depend on customer's goals, their pain points, and the problem your product is intended to solve for them.

TOPIC 03

What is Business Process Management?



3.1 What is BPM?

- Business Process Management is the art and science of overseeing how work is performed in an organization to ensure consistent outcomes and to take advantage of improvement opportunities. In this context, the term “improvement” may take different meanings depending on the objectives of the organization.
- Typical examples of improvement objectives include reducing costs, reducing execution times and reducing error rates.
- Business processes are the focal point of BPM

3.2 Why BPM?

“The first rule of any technology used in a business is that automation applied to an efficient operation will magnify the efficiency.

The second is that automation applied to an inefficient operation will magnify the inefficiency.”

Bill Gates

- BPM enables organizations to align business functions with customer needs, and helps executives determine how to deploy, monitor and measure company resources.
- When properly executed, BPM has the ability to enhance efficiency and productivity, reduce costs, and minimize errors and risk – thereby optimizing results

3.3 Drivers of BPM

- Efficiency – Improve Performance
- Compliance – Standardize Processes
- Quality – Reduce errors and exceptions
- Agility – Responsiveness to customers and markets
- Integration – Connect operations and IT

3.4 Related Disciplines

- Total Quality Management
- Operations Management
- Lean
- Six Sigma

TOPIC 04

Modern BPM Trends



TOPIC 05

Categories of Business Processes



4.1 Types of Processes



4.1 Types of Processes (Continued)

Core Processes

- Processes that are essential to the operation of a business
- Core business processes directly deliver values to the organization and its customers.
- *For example, sales, production, or service delivery.*

Support Processes

- Processes in the back office that support the core processes
- Provide value to the internal customers and do not generate income in themselves.
- They usually happen in the background, *such as HR, IT support, or accounting.*

Management Processes

- Processes by which businesses plan, organize, and control their resources
- It includes reorganizing the organization and its roles along the lines of business processes.
- They ensure that the organization is meeting overall financial and operational goals.
- *Examples include strategic planning and performance management.*

4.1 Types of Processes (Continued)

Management Processes

- Strategic Planning
- Budgeting
- Compliance and Risk Management
- Investors, Suppliers, Partners Management

Core Processes

- Design and Development
- Manufacturing
- Marketing and Sales
- Delivery and After-Sales
- Direct Procurement

Support Processes

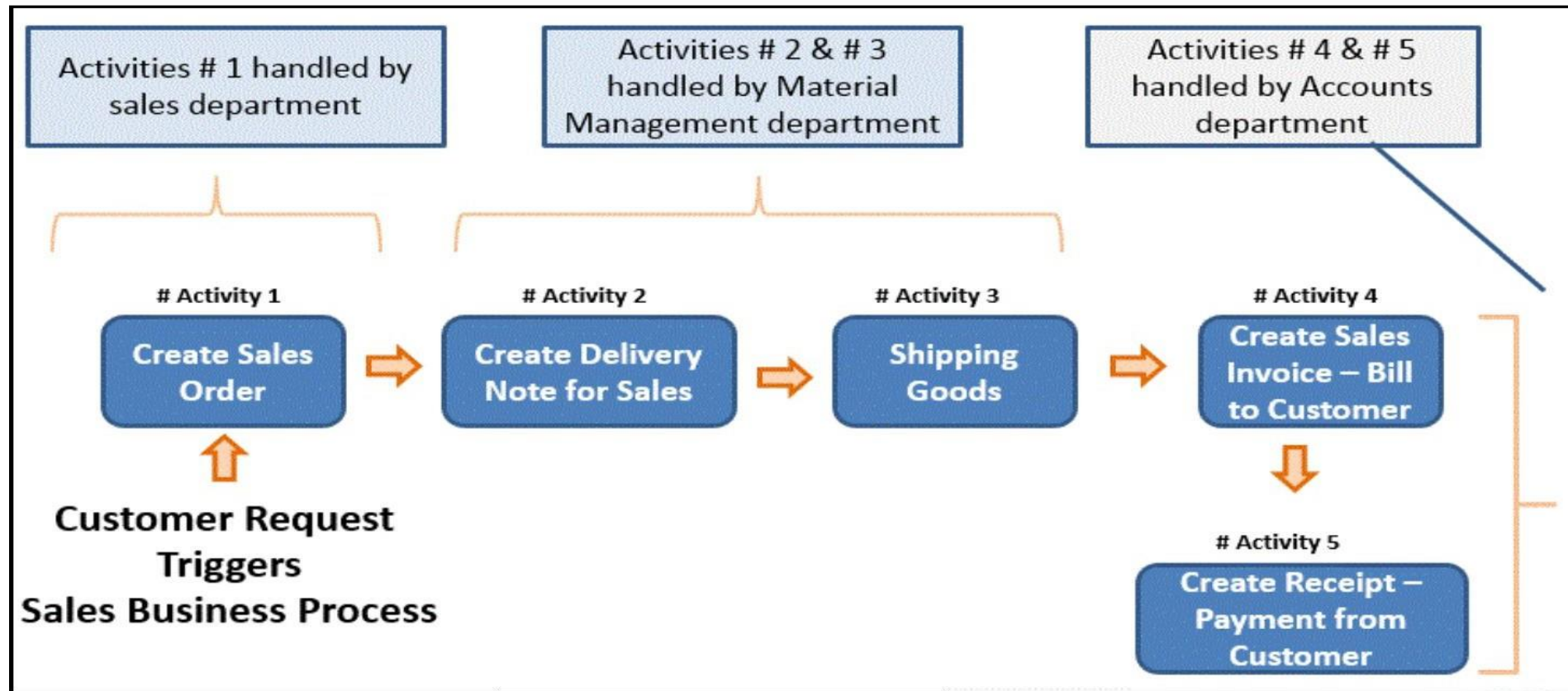
- Indirect Procurement
- Human Resource
- Information Technology
- Accounting, Financial and Legal

4.2 Functional Business Processes

- Happen within a single department or functional area, such as marketing, finance, or human resources.

Functional Area	Marketing & Sales	Procurement & Distribution	Accounting & Finance	Human Resources
Business Functions	Marketing research	Purchasing of raw materials	Credit issuance	Hiring & training
	Launching promotional campaigns	Transporting products to warehouse	Cost allocations	Payroll management
	Customer relationship management	Packaging and logistics	Budget planning	Appraisal handling
	Sales forecasting	Direct delivery	Asset management	Attendance management

4.3 Cross - Functional Business Processes



- Involve multiple departments working together toward a common goal.
- For example, processing a customer order may involve sales, finance, inventory, and delivery departments.
- Improve coordination and help organizations deliver better results to customers.

Thank You!